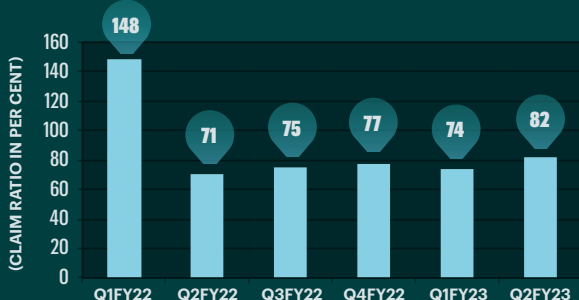




NOT SO HEALTHY

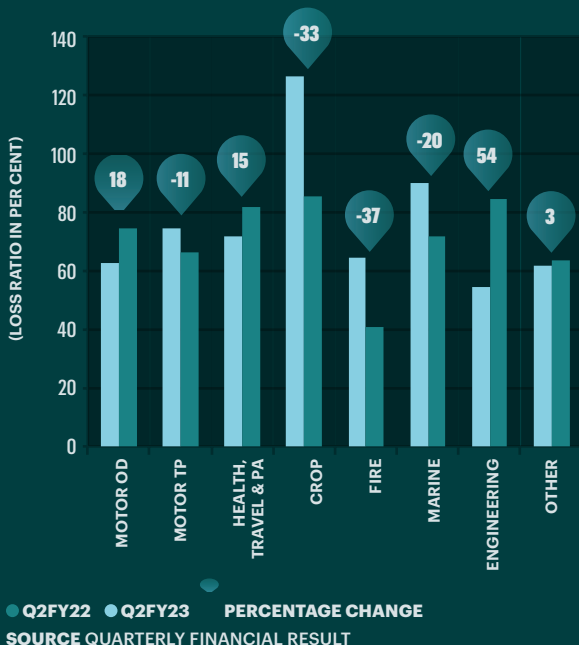
ICICI Lombard witnessed a rise in claim ratio in the health segment in the September 2022 quarter



SOURCE MOTILAL OSWAL FINANCIAL SERVICES LTD

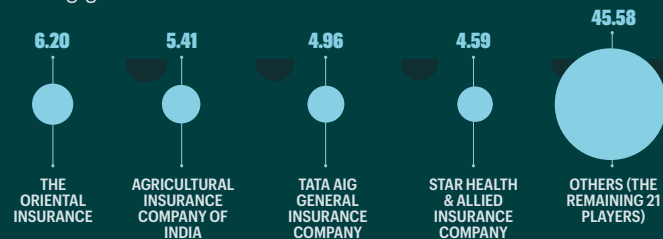
RUNNING FOR COVER

ICICI Lombard's health and motor own damage (OD) segments registered a sharp rise in loss ratio in Q2FY23



SOURCE QUARTERLY FINANCIAL RESULT

With a market share of 8.71 per cent, ICICI Lombard is now trailing general insurance market leader New India Assurance



GROSS DIRECT PREMIUM UNDERWRITTEN; SOURCE IRDAI

insurers—United India Insurance Co., The Oriental Insurance Company and National Insurance Company—has been put on hold, these insurance firms are snapping at ICICI Lombard's heels to gain market share. "We do not know in what shape and form it would happen, or if it is going to happen. Obviously, we have to wait and see," says Gopal Balachandran, 47, CFO & CRO of ICICI Lombard. As per monthly data released by Irdai, around 20 per cent of the market share was cornered by these three insurers (till November 2022).

HEALTH CONSCIOUS

One big positive that has come from the merger for the insurer is the distribution franchise it got in the deal. The number of agents with ICICI Lombard increased by 38 per cent from 59,545 agents in FY21 to around 82,000 by the end of December 2021, apart from the rebranding of over 140-plus branches of Bharti AXA. The merger has also resulted in annualised synergies worth ₹200 crore of which ₹70 crore was realised in FY22, with the balance expected to be realised in FY23. "Since it's a direct benefit of synergies, it'll accrue to the P&L. But... we are reinvesting into expanding distribution on retail health, and our digital franchise," says Balachandran. The company's stock was trading at ₹1,244 on December 27; it has given negative returns of over 10 per cent year-to-date.

With the benefit of synergies flowing in, Dasgupta knows where to push forward next. As its share in the retail health segment in January-November 2022 was 3 per cent compared to 8 per cent in the general insurance segment, it wants to grow health fast. "We are investing and focussing on retail distribution. In commercial lines, we are anyway large and strong," says Dasgupta.

"We need to make sure that from 3 per cent, we get to 8 per cent in retail health. That's clearly the road map one would want to look for at the minimum," adds Balachandran. ICICI Lombard's net earned premium (NEP) from health and personal accident (PA) policies stood at ₹3,354 crore in FY22 compared to ₹1,115 crore in FY18, growing at a CAGR of 32 per cent. Post-merger, its share in the product mix stood at 27 per cent (H1FY23), compared to 23 per cent in H1FY22.

So, how does the company plan to increase its market share? For higher growth in the retail health segment, it has put in place a strategy of recruiting agency managers who hire agents, and the agents then bring in the business. The insurer wants to hire close to 1,000 health agency managers, who will add about 15 to 20 agents each. "We will add close to 15,000 to 20,000 agents. This is an area of focus, and we will continue to make those investments," says Balachandran.